Booking Holdings Inc. (BKNG)

Watch list analysis, 2026-10-28 20:54 CET. Latest prices on 2026-10-28. Claude's notes updated 2026-10-28.

1. Summary

> **The strongest balance sheet and biggest cash generator in online travel, the cheapest it has been in a decade, sold off on fears that AI agents will bypass it. View: start a position now and add below about $145 (15x adjusted earnings).**

Price	Adjusted P/E, 12m	10-year median P/E	Entry at 15x
$148.46	**15.4x**	**21.2x**	**$144.15** 3% below today's price

- **Cheap:** about 16x adjusted earnings, against a 10-year norm of about 21x.
- **Strong:** passes every strict debt rule and generates about $9.5bn of free cash flow a year.
- **Weak:** negative shareholders' equity because of buybacks.
- **Uncertain:** room-night growth is slowing, and AI agents and regulators are open risks.

2. The numbers

Absolute values, latest 12 months

Value	BKNG
Price and value	
Share price	$148.46
Market value	$111.55bn
DCF fair value	$183.82
Cash flow before growth (DCF base)	$10.02bn
Debt and cash	
Total debt	$20.69bn
Net debt	$3.48bn
Short-term debt	$2.00bn
Long-term debt	$18.69bn
Cash	$17.21bn
Earnings	
Revenue (12m)	$28.24bn
EBITDA (12m)	$11.11bn
Net income (12m)	$7.21bn
EPS (12m)	$9.02
Forward EPS	$12.37
Cash flow	
Operating cash flow	$9.86bn
Capex	-$0.32bn
Free cash flow	$9.54bn

Absolute values by year (SEC filings; Yahoo where SEC has no figure)

Value	FY2016	FY2017	FY2018	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	Latest 12m
Share price	$58.64	$69.51	$68.90	$82.15	$89.09	$95.97	$80.61	$141.89	$198.74	$214.21	$148.46
Market value	$73.40bn	$86.81bn	$82.71bn	$89.36bn	$91.67bn	$99.24bn	$80.72bn	$129.58bn	$169.24bn	$174.79bn	$111.55bn
Cash flow before growth (DCF base)	$3.84bn	$4.50bn	$5.12bn	$4.61bn	-$0.09bn	$2.66bn	$6.41bn	$7.55bn	$7.73bn	$8.79bn	$10.02bn
Total debt	$6.17bn	$8.81bn	$8.65bn	$7.64bn	$12.01bn	$10.93bn	$12.48bn	$14.18bn	$16.60bn	$18.74bn	$20.69bn
Net debt	$4.09bn	$6.27bn	$6.02bn	$1.33bn	$1.45bn	-$0.20bn	$0.26bn	$2.08bn	$0.43bn	$1.53bn	$3.48bn
Short-term debt	–	–	–	–	$0.98bn	$1.99bn	$0.50bn	$1.96bn	$1.75bn	$1.88bn	$2.00bn
Long-term debt	$6.17bn	$8.81bn	$8.65bn	$7.64bn	$11.03bn	$8.94bn	$11.98bn	$12.22bn	$14.85bn	$16.86bn	$18.69bn
Cash	$2.08bn	$2.54bn	$2.62bn	$6.31bn	$10.56bn	$11.13bn	$12.22bn	$12.11bn	$16.16bn	$17.20bn	$17.21bn
Revenue (12m)	$10.74bn	$12.68bn	$14.53bn	$15.07bn	$6.80bn	$10.96bn	$17.09bn	$21.36bn	$23.74bn	$26.92bn	$28.24bn
EBITDA (12m)	$3.21bn	$4.90bn	$5.77bn	$5.81bn	-$0.17bn	$2.92bn	$5.55bn	$6.34bn	$8.15bn	$9.45bn	$11.11bn
Net income (12m)	$2.13bn	$2.34bn	$4.00bn	$4.87bn	$0.06bn	$1.17bn	$3.06bn	$4.29bn	$5.88bn	$5.40bn	$7.21bn
EPS (12m)	$1.71	$1.87	$3.33	$4.47	$0.06	$1.13	$3.05	$4.70	$6.91	$6.62	$9.02
Operating cash flow	$3.98bn	$4.66bn	$5.34bn	$4.87bn	$0.09bn	$2.82bn	$6.55bn	$7.34bn	$8.32bn	$9.41bn	$9.86bn
Capex	-$0.22bn	-$0.29bn	-$0.44bn	-$0.37bn	-$0.29bn	-$0.30bn	-$0.37bn	-$0.34bn	-$0.43bn	-$0.32bn	-$0.32bn
Free cash flow	$3.76bn	$4.37bn	$4.90bn	$4.50bn	-$0.20bn	$2.52bn	$6.19bn	$7.00bn	$7.89bn	$9.09bn	$9.54bn

Ratios

Measure	BKNG	Rule or peer median
Net debt / EBITDA	0.3x	≤ 4.5x
EBITDA / interest	10.1x	≥ 4x
Cash / short-term debt	8.6x	≥ 1x
Cash / long-term debt	92.1%	≥ 5%
Revenue growth, average / median year	16.5% / 13.4%	> 0
EPS growth (GAAP), average / median year	32.2% / 47.1%	> 0
Net margin, 12 months	25.5%	
P/E, trailing GAAP	16.5x	peer median 22.6x
P/E, forward	12.0x	
EV / EBITDA	10.4x	peer median 9.1x
Free cash flow yield	8.6%	
Price vs standard DCF fair value	-19.2%	< 0 is cheap

Strict screen: passes

Must-have	BKNG
market value >= $1bn	Pass
reliable US-dollar data	Pass
profitable (net income and EBITDA > 0)	Pass
cash covers short-term debt	Pass
cash >= 5% of long-term debt	Pass
net debt / EBITDA <= 4.5x	Pass
EBITDA / interest >= 4x	Pass

Weighted screen against peers: BKNG ranks 3 of 3

Company	Total	Debt (50%)	Profit and cash (25%)	Cheapness (25%)
1. TCOM	85.1	83.3	90.5	83.3
2. EXPE	63.1	66.7	52.4	66.7
3. BKNG	**51.8**	**50.0**	**57.1**	**50.0**

Peers: EXPE, ABNB, TCOM, TRIP, MMYT, TRVG. Growth required. Scores are percentiles within the peers that pass the base rules.

DCF

Standard DCF	
Cash flow before growth (OCF − D&A + after-tax interest)	$10.02bn
WACC (CAPM)	9.7%
Growth forever	2.5%
Fair value per share	$183.82
Price vs fair value	-19.2%
Growth forever implied by today's price	1.0%

3. Analysis

Adjusted P/E against its own 10-year history



Year	Average price	Adjusted EPS	P/E
Now (12m)	**$148.46**	**$9.61**	**15.4x**
2025	$206.52	$9.14	22.6x
2024	$159.31	$7.52	21.2x
2023	$112.30	$6.13	18.3x
2022	$82.38	$4.03	20.4x
2021	$91.71	$1.83	50.1x
2020	$69.66	$0.19	366.6x
2019	$74.85	$4.13	18.1x
2018	$78.76	$3.72	21.2x
2017	$71.93	$3.09	23.3x
2016	$53.87	$2.80	19.2x

Median of the yearly P/E: 21.2x over 10 years, 21.2x over the last 5.

Adjusted EPS: Yahoo's reported quarterly EPS (the basis analysts use, without amortization and one-offs), split-adjusted. Last four quarters, by report date: Oct 2025 $3.98, Feb 2026 $1.95, Apr 2026 $1.14, Aug 2026 $2.54. Full-year EPS is the trailing figure at the Q4 report; P/E uses the year's average price. The chart shows the daily price over the trailing adjusted EPS known that day.

Entry price

At 15x trailing adjusted EPS of $9.61, the entry price is **$144.15**, 3% below today's price. The 10-year range of yearly P/E is 18.1x to 366.6x (years of collapsed earnings, such as 2020, show very high P/Es). Next report 2026-11-03 (EPS estimate $4.49); if met, the entry price becomes $151.80.

Target: Proposed 2026-10-25 (report 12), not yet confirmed by Babak: below the 18x decade low, a discount for the AI-agent risk.

Business

Booking runs Booking.com, Priceline, Agoda, KAYAK and OpenTable. Most of its profit comes from hotel and alternative-accommodation commissions, mainly in Europe. Results are still growing: Q2 2026 adjusted EPS of $2.54 beat the $2.43 consensus and grew 15%. It returns about 10% of its market value to shareholders each year through buybacks and dividends. The stock split 25-for-1 in April 2026.

Risks

- **AI agents:** assistants that book travel directly (Meta's Muse agent, Sep 23) could cut Booking out of the customer relationship.

- **Slowing volume:** room-night growth fell from 8–9% in 2025 to 5% in Q2 and a guided 3–5% in Q3.
- **Regulators:** an EU Digital Services Act probe (Oct 21), reported FTC action over affiliate hotel ads (Oct 7), and the EU court upholding the ETraveli block (Sep 9).

News

- 2026-10-28: about $148, another step down ahead of the Nov 3 report; now about 3% above the $144 entry.
- 2026-10-27: a new 52-week low near $150 intraday, closing about $150. Options imply about a 6% move on the Nov 3 report. Wells Fargo cut its target to $190 (Equal Weight); BofA ($232) and BTIG ($250) keep Buy.
- The stock is down about 29% this year, most of it since late August.
- Q3 results are due Nov 3; consensus adjusted EPS is about $4.49.

What to watch

- Q3 on Nov 3: room nights against the 3–5% guide and early 2027 commentary.
- Management's view of traffic from AI agents, any FTC provision, and whether buybacks stay near $4bn a quarter.

Caveats

- Yahoo data is unofficial; capex can include acquisitions or stakes, so check SEC capex.
- The peer group is hand-picked, so the weighted scores depend on it.
- Claude's notes are dated above and may be older than the numbers.

Reproduce: `uv run python analysis/watchlist.py BKNG`